

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-23

Marine Transport Logistics, Inc. v. CMA CGM SA

RESPONDENT’S MOTION FOR RECONSIDERATION

Respondent CMA CGM SA (“Respondent” or “CMA”), through its undersigned counsel, hereby moves for modification of one portion of the Presiding Officer’s January 31, 2024 Order on Motions to Compel (“Order”). In particular, CMA seeks both modification of the requirement that CMA produce to Complainant Marine Terminal Logistics, Inc. (“Complainant” or “MTL”) all documents responsive to MTL’s Request for Documents 6, regarding complaints concerning detention and demurrage received by CMA from customers other than MTL in 2022 and an enlargement of the time for CMA to produce responsive documents. The grounds for this Motion, as elaborated below, are:¹ (i) assuming *arguendo* that some such documents may be pertinent to the Complaint, the request is substantially overbroad as the Complaint is about foreign charges relating to diversion of cargo from a war zone in which the country’s ports were (and remain) closed, and the number of documents conceivably relevant to the Complaint is quite small compared to the massive document set of all complaints about detention and

¹ CMA reasserts its previously asserted objections and supporting arguments that the documents requested are irrelevant to the claims and defenses before the Presiding Officer. While CMA will not rehash those arguments in this document, it notes its objection to the Presiding Officer’s Order of January 31, 2024 requiring CMA to produce documents in response to MTL’s Request for Documents 6.

demurrage, even as limited by the Presiding Officer to only those received in 2022; and (ii) it is practically impossible for CMA to produce such a massive volume of documents by the deadline of February 15, 2024, or anytime shortly thereafter. Accordingly, Respondent requests additional time of 120 days to complete the response with the scope remaining as is, or an additional 45 days for a narrowed alternative that would provide Complainant a comprehensive set of relevant documents for similarly situated shipments.²

Counsel for CMA has conferred with counsel for MTL, who said it will not oppose an extension of time for production of documents if the briefing schedule is extended, but otherwise will oppose the instant Motion.

INTRODUCTION

CMA has been working diligently to identify and collect the information requested by Complainant's Request for Documents 6, as amended by the Order. Unfortunately, just checking for hits has demonstrated that it is completely impossible to identify, collect, review, and produce the documents in the time allotted. CMA understands that the Order states that "[n]o further motions may be filed" regarding discovery. Order at 9. But under the circumstances, where the required production is impossible within the specified period, and failure to perform the impossible "may lead to an adverse inference," it is both necessary and justified that the prohibition be relaxed for purposes of this Motion. CMA will of course refrain from any further discovery motions as to the completeness/quality of MTL's responses and will leave any such concerns to the briefing process.

² CMA will of course make these productions on a rolling basis in order to complete them as soon as possible.

CMA invoices and collects demurrage and detention charges in a decentralized manner, based on destination. These charges are typically invoiced by CMA's local agents to consignees or their agents at destination. Since the issuance of the January 31, 2024 Order, CMA has worked diligently to gather potentially responsive documents to the still-broad request. As CMA is a global carrier, this monumental task requires it to search for potentially responsive documents not only in the United States, but with each of CMA's 144 local agents in more than 100 countries across the globe. CMA therefore requests reconsideration of the Order and additional time to comply, which will necessarily depend on the reconsidered scope of the discovery ordered.

ARGUMENT

A. Standard of Review

The FMC's Rules do not specify any standards for reconsideration of interlocutory orders by the Presiding Officer (although they do for reconsideration of final Commission orders). Accordingly, Presiding Officers have substantial authority to flexibly reconsider their decisions prior to issuance of the Initial Decision. As the Commission explained in *Tractors and Farm Equipment, Ltd v. Waterman Steamship Corp.*, 25 F.M.C. 375, 377 n. 9 (FMC 1982), for example, "A presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision, whether those rulings are made by him or her or by a previously assigned [ALJ]." To like effect, see *Carolina Marine Handling, Inc. v. South Carolina State Ports Authority*, 2002 FMC LEXIS 13 at *2 (ALJ 2002), where Judge Dolan explained that reconsideration can properly be based on correction of the Presiding Officer's misconception of the facts. *Id.* at *3. As there is clearly a need to correct a misconception of the burden of Request

for Documents 6, even as limited by the Order, the Presiding Officer would be well within her discretion to reconsider the matter.

B. CMA Should be Granted an Extension of Time to Produce Responsive Documents.

For the reasons stated herein, and despite the fact that it has been working assiduously to gather possibly responsive documents, CMA simply cannot comply with the Order as it stands by February 15, 2024. The time it will take CMA to gather possibly responsive documents from 144 destination agents is further complicated by the fact that the requested data does not reside in a single repository and CMA must search in two systems to identify responsive documents. Accordingly, if the Presiding Officer declines to further narrow the scope of Request for Documents 6, as we propose below, CMA moves for an extension of time to produce the requested documents to 120 days after the order resolving this Motion.

C. Without Further Narrowing by the Presiding Officer, MTL's Request for Documents 6 Remains Overly Broad and Unduly Burdensome

Even by limiting the scope of MTL's Request for Documents 6 to only those complaints received in 2022, the request remains unnecessarily broad. Specifically, it requires the production of documents beyond those necessary to determine whether CMA engaged in "normal, customary, and continuous" unreasonable conduct. As the Commission has held:

Section 545.4 requires proof that "claimed acts or omissions" occurred on a normal, customary, continuous basis, i.e., that the alleged conduct amounts to a practice or regulation. A complainant must also prove that *this specific practice* or regulation is unjust or unreasonable. § 545.4(d). In other words, § 41102(c), as interpreted by the Commission, requires proof that a regulated entity engaged in a practice related to receiving, handling, storing, or delivering property that was unreasonable. Crocus's approach would result in liability if a regulated entity's "practice" was behaving unreasonably. That is not how § 545.4 is structured, and *Crocus cannot combine disparate types of allegedly unreasonable behavior into a practice for purposes of § 41102(c).*"

Crocus Investments, LLC v. Marine Transport Logistics, Inc., 3 FMC 110, 118-19, (FMC 2021) (footnotes and cites to record omitted; emphasis added).³

Although the Complaint does not identify with any specificity the alleged unreasonable practice by CMA, it is clear that MTL's primary complaint has to do with destination charges at foreign ports for cargo diverted from its original destination. For example:

- Allegations 5-13 relate to Container #TGBU5073710, which the Complaint states was diverted, at MTL's request, from its original destination in the Ukraine, due to the "ongoing conflict in Ukraine." [Allegation 5.]
- Likewise, Allegations 14 – 18 relate to Container #UETU525161, which the Complaint states was diverted, at MTL's request, from its original destination in the Ukraine, due to the "ongoing conflict in Ukraine." [Allegation 14.]
- Allegations 19-21 relate to Container #SEGU6471959, which the Complaint states was diverted, at MTL's request, from its original destination in the Ukraine, due to the "ongoing conflict in Ukraine." [Allegation 19.]
- Allegations 22-23 relate to Container #UESU5180789, as to which the Complaint states that "[a] similar picture unfolded," and which was likewise diverted, at MTL's request, from its original destination in the Ukraine, due to the "ongoing conflict in Ukraine." [Allegation 22].
- Allegations 24-28 relate to Container #TRLU7542206, which the Complaint states was diverted, at MTL's request, from its original destination in the Ukraine, due to the "ongoing conflict in Ukraine." [Allegation 24.]

³ It should be noted that the defendant in *Crocus*, Marine Transport Logistics, Inc., is now the Complainant in this case.

- Allegations 29-37 relate to Container #TCNU3475181, Booking #NAM3933751, Container #BMOU5265030, Booking #NAM4588370, and Container #FFAU4420241, Booking #NAM5194626, which were U.S. export shipments either destined for or transshipping through Europe, and which Complainant states were “rolled” by CMA unreasonably. [Allegation 29, Allegation 34, Allegation 37.]

Request for Documents 6, even as narrowed by the Presiding Officer, seeks a multitude of documents that bear little to no relationship with the specific conduct MTL complains of. Based on its work to gather documents thus far, there are likely hundreds of thousands of pages of documents that are potentially responsive to MTL’s request to be gathered from nearly 150 destination agents. Given the sheer volume of potentially responsive documents and their diverse locations, it is impossible for CMA to review and produce responsive documents within the time frame allotted by the Presiding Officer.⁴

Because, as explained above, the Complaint is essentially limited to charges assessed at foreign destinations in Europe, CMA proposes that Request for Documents 6 be further narrowed to require CMA to produce documents related to detention and demurrage complaints for export shipments made in 2022 from the United States to Europe, which were diverted at the shipper’s request to another destination in Europe. This narrowed scope would provide MTL with documents for cases most similar to those it complains of, while easing the burden, expense, and

⁴ We must note that, in cases such as this where hundreds of thousands of documents are produced, careful review of each document for privilege or attorney work product is not merely a ministerial task or a task that can be automated. *See, e.g.,* FMC Docket No. 23-01, *Samsung v. SM Line* (ALJ Feb. 5, 2024)(denying a request to claw back privileged document) (slip op. at 2).

time on CMA. CMA believes that such a narrowed scope would still yield a substantial number of document pages, but more on the order of 1,000-2,000 rather than 100,000+.

Such a limited universe of documents could be more quickly reviewed and produced, albeit not before the February 15 deadline, as it would still require CMA both to collect and to review possibly responsive documents from destination agents in 18 European countries. CMA believes that these documents could be collected and reviewed within 45 days after the issuance of an order so narrowing Request for Documents 6.

CONCLUSION

Based on the foregoing, CMA respectfully requests that the Presiding Officer:

- 1) Extend the deadline for the production of documents responsive to Complainant's Request for Documents 6 to 120 days from the issuance of an order on the instant Motion; or, in the alternative,
- 2) Order CMA, within 45 days of the issuance of an order on the instant Motion, to produce documents concerning complaints that it received in 2022 concerning U.S. exports that were diverted from one European country to another European country.

DATED: February 14, 2024

Respectfully submitted,

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ATTORNEYS FOR RESPONDENT

CERTIFICATE OF SERVICE

I hereby certify that on this 14th day of February, 2024 a true and correct copy of the foregoing documents was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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